

PREFERRED EQUITY INVESTMENT · \$7,276,056

Wylder Hotel Tilghman Island.

*A preferred position at a 17.00% return, sitting behind a single \$9,000,000 senior loan
— with a 1.20x minimum multiple and a 10% profit participation on sale.*

Bradley M. Buzil

SENIOR DIRECTOR · EXCLUSIVE CAPITAL ADVISOR

wylder

TILGHMAN ISLAND

August 26, 2026 · Tilghman Island, MD

THE OPPORTUNITY

A 17% preferred return, behind one senior loan.

PREFERRED INVESTMENT \$7.28M 44.7% of total cap · \$127,650/key	PREFERRED RETURN 17.00% 10% current pay · 7% accrued	MINIMUM MULTIPLE 1.20x Cumulative floor · \$8.73M	PROFIT PARTICIPATION 10.0% Of sale profits · no hurdle
PROJECTED MULTIPLE 1.55x Base case · before participation	TERM 3 yrs Coterminous · + two 12-mo ext.	SENIOR LOAN AHEAD \$9.00M 42.9% LTV · only senior capital	LAST-DOLLAR BASIS 77.5% Of \$21.0M as-is appraised value

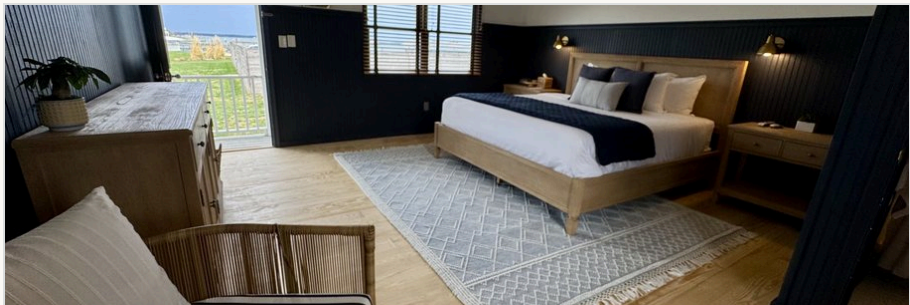


THE ASSET

A waterfront resort on the Chesapeake.

Wylder Hotel Tilghman Island sits directly on the Chesapeake Bay in Talbot County, Maryland — an 8.10-acre waterfront parcel with a marina, pool, restaurant and boat bar. Operated under the Wylder Hotels brand, the property is mid-repositioning, with a Small Luxury Hotels affiliation planned for Year 2.

KEYS 50 → 57 Upon renovation completion	SITE 8.10 ac 352,759 SF waterfront
POSITIONING Upper Upscale Select-service resort	LOCATION Tilghman, MD Talbot County · Chesapeake Bay



THE SPONSOR

A hands-on owner-operator, fully aligned.

The property is owned by **21551 Tilghman Investors LLC**, led by principal **John Flannigan**, and operated under the **Wylder Hotels** brand through affiliate Wylder Eastern Shore Management, LLC — controlling day-to-day operations and the renovation, with a Small Luxury Hotels affiliation planned for Year 2.

OWNERSHIP	PRINCIPAL / GUARANTOR
21551 Tilghman Investors LLC	John Flannigan
OPERATOR / BRAND	MANAGER
Wylder Hotels	Wylder Eastern Shore Mgmt.
SPONSOR COMMITMENTS TO THE PREFERRED	
01 Completion & cost-overflow guaranty — funds every dollar of overrun and capital shortfall.	
02 Full carry guaranty — carries debt service and operating shortfalls through the plan.	
03 Recourse carve-out & environmental indemnity.	
04 \$10,000,000 minimum net-worth covenant on the guarantor.	

Failure to fund dilutes the sponsor's **common equity — not the preferred**, placing first loss squarely below this position.



A proven operator, and the brand he built.



An all-season boutique brand that acquires, renovates and operates storied resort properties in drive-to leisure markets — now three hotels across three states.

Wylder Tilghman Island 50→57 keys
Chesapeake Bay, MD · this asset Est. 2017

Wylder Hope Valley 30 cabins
Sierra Nevada, CA Est. 2019

Wylder Windham 110 keys
Catskills, NY · ~\$27M invested Est. 2022

RECOGNITION

#1 Best Resort in New York State, #8 in the U.S. — Travel + Leisure World's Best, 2023 · MICHELIN Guide & first Small Luxury Hotels member in the Catskills (Wylder Windham) · Top 11 in NY & the Mid-Atlantic — Condé Nast Traveler, 2018 (Tilghman Island).



John Flannigan

FOUNDER & CEO · WYLDER HOTELS (JEF MANAGEMENT LLC)

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DECADES

WYLDER · '16–NOW **Founder & CEO** — acquired, renovated and opened three resorts; leads capital, acquisitions, design and operations.

PROPER · '14–'16 **Chief Operating Officer**, Proper Hospitality — opened Avalon Beverly Hills and Avalon Palm Springs.

JRK · '09–'14 **President**, JRK Hotels — seven-hotel platform; acquired the 472-key Sheraton Nashville Downtown (\$47.5M), Oceana Santa Monica & Santa Barbara, Villa Florence SF.

ACE NY · '08–'09 **Opening General Manager** — opened the flagship Ace Hotel New York that defined the lifestyle category.

EARLIER Opening GM of The Roger and Hotel Giraffe (NYC); progressive roles at Wyndham Hotels.

B.S., Hotel, Restaurant & Institutional Management — The Pennsylvania State University (1996). Entrepreneur of the Year, Penn State Hotel & Restaurant Society, 2023.

Closing a RevPAR gap the market has already proven.

HOW THE PLAN CREATES VALUE

\$3.0M · \$52,684 / KEY

01

Reset the product

Full renovation of all 57 guest rooms at \$25,000/key; four out-of-service keys returned and three added — 50 → 57 keys.

\$1.43M

02

Add revenue streams

A 25-slip marina, the reimagined boat bar, and a rebuilt 3-bedroom house broaden revenue well beyond the room block.

\$0.85M

03

Lift demand through brand

The Wylder brand and a planned Small Luxury Hotels affiliation (Year 2, bookable on Hilton.com) drive both rate and occupancy.

SLH · Yr 2

Exterior and interior improvements, contingency and professional fees complete the \$3,003,000 program. The renovation is advanced by the senior lender against completed work.

REVPAR INDEX TO COMP SET

41.5%

→ ~70%

\$87 today vs. \$210 comp set (STR, Dec 2025)

This is a repositioning, not a market bet — lifting the property toward 70% of an already-proven competitive set, **assuming no growth in the underlying market.**

NOI · 2026→2028

2.2×

VALUE · AS-IS→STAB.

\$21→\$28.5M

Three years of history, three years of upside.

	ACTUAL			PROFORMA		
METRIC	2023	2024	2025	2026 <i>Renov.</i>	2027 <i>Stab.</i>	2028 <i>Stabilized</i>
Occupancy	27%	32%	33%	33%	38%	40%
ADR	\$312	\$291	\$265	\$288	\$395	\$415
RevPAR	\$83	\$92	\$87	\$96	\$150	\$166
Total revenue	\$3.48M	\$3.81M	\$3.79M	\$4.27M	\$6.02M	\$6.71M
NOI (EBITDA)	\$0.49M	\$0.92M	\$0.66M	\$1.03M	\$2.00M	\$2.30M
NOI margin	14.0%	24.0%	17.6%	24.0%	33.3%	34.3%

HISTORICAL NOI BAND

\$0.5M – \$0.9M

STABILIZED NOI

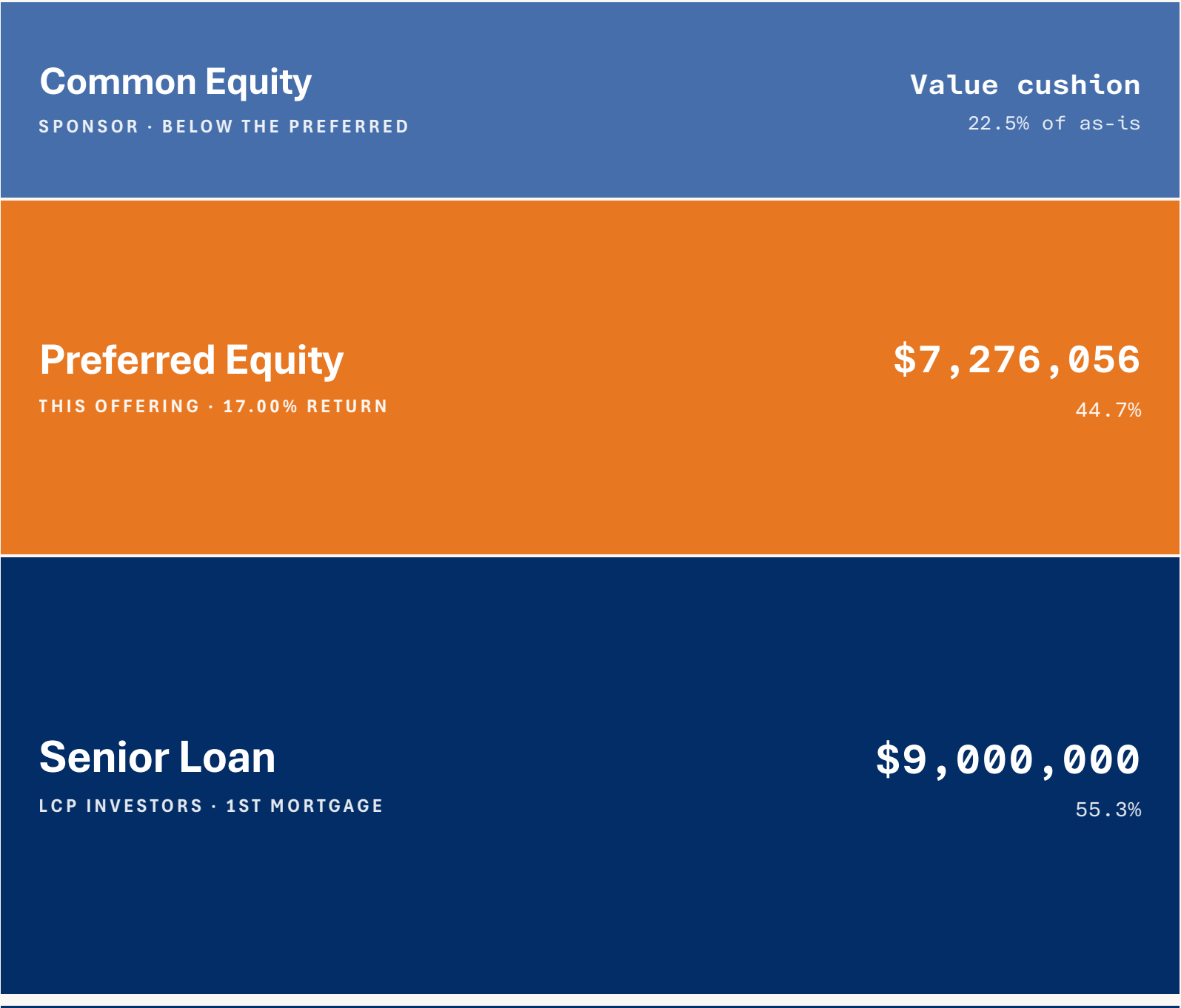
\$2.30M

REVPAR • 2025 → 2028

\$87 → \$166

A rate-and-product story: occupancy holds while the renovation and rebrand drive ADR and NOI. Actuals per operating statements; proforma per the financial model.

One senior loan ahead. Nothing beside it.



TOTAL CAPITALIZATION **\$16,276,056**

The preferred sits behind a **single \$9,000,000 senior loan** from LCP Investors — no mezzanine, no other preferred, no cross-collateralization. Sponsor common equity absorbs the first loss beneath the preferred.

ATTACHMENT (AS-IS \$21.0M)	LAST \$	LTV
Senior loan	\$9.00M	42.9%
Preferred (last dollar)	\$16.28M	77.5%
Value cushion below common	\$4.72M	22.5%

On completion and stabilization, value rises to \$25.5M and \$28.5M while the preferred's basis holds — widening the cushion beneath the preferred to **\$12.2M**.

PREFERRED EQUITY TERMS

Three economics define the position.

PREFERRED RETURN

17.00%

Per annum · cumulative

Current pay, monthly10.00%

Accrued & compounding7.00%

Current-pay reserve\$727,606

MINIMUM MULTIPLE

1.20x

Hard floor at redemption

Minimum dollars returned\$8,731,268

RedemptionAny time, no penalty

Origination fee to investor2.00%

PROFIT PARTICIPATION

10.0%

Of sale profits · no hurdle

TriggerSale of property

Strike / hurdleNone

Priority to commonSenior

TERM

3 yrs + 2×12-mo

RANKING

Senior to common

DEFAULT RATE BUMP

+5.00%

BREAK-UP FEE

\$25,000

RETURN PROFILE

A 1.55x base-case multiple, before participation.

PREFERRED BALANCE	YEAR 1	YEAR 2	YEAR 3
Beginning balance	\$7.28M	\$7.79M	\$8.33M
Accrued return (7% PIK)	\$509K	\$545K	\$583K
Ending balance	\$7.79M	\$8.33M	\$8.91M
Current pay (cash)	\$728K	\$779K	\$833K

PROJECTED MULTIPLE	HOLD PERIOD
1.55x	3 yrs
Cumulative current pay	\$2,339,179
Accrued balance at exit	\$8,913,482
TOTAL DISTRIBUTIONS	\$11,252,661

Figures reflect the preferred return only. The 1.20x minimum multiple floors the outcome; the 10% sale profit participation is incremental upside not included above. Hold period and redemption timing are illustrative and recalculate from the model.

Downside Protection

Protected by value, cash, and control.

Basis of Value	Value	Senior LTV	Pref Last-\$
As-is <i>Effective May 5, 2026</i>	\$21.0M	42.9%	77.5%
Upon completion <i>\$447,368 per key</i>	\$25.5M	35.3%	63.8%
Upon stabilization <i>\$500,000 per key</i>	\$28.5M	31.6%	57.1%

The property can lose **22.5% of its as-is appraised value** — and far more after the plan executes — before the preferred's capital is impaired.

Cash

A **\$727,606** current-pay reserve carries the 10% coupon through Year 1; a separate **\$823,769** senior interest & carry reserve keeps the senior loan current during renovation.

Control

Approval rights over sale, refinancing, budget and management changes; the right to **remove the managing member, replace the property manager and force a sale** on default; and a recognition agreement with the senior lender.

Sponsor Alignment

Completion, cost-overrun and carry guaranties from John Flannigan, plus a **\$10,000,000 minimum net-worth covenant**. Cost overruns dilute common equity, not the preferred.

Paid before the sponsor, at every level.

OPERATING CASH FLOW WATERFALL

1 Senior loan current interest

2 Senior escrows & reserves

3 Preferred current pay (10%)

4 Accrued preferred return then due

5 To borrower

CAPITAL EVENT WATERFALL

1 Senior loan repaid in full

2 Preferred current + accrued return

3 Return of capital + minimum multiple

4 Profit participation (on a sale)

5 To borrower

APPROVAL RIGHTS

Prior written consent required for a sale or refinancing that fails to repay the senior and redeem the preferred in full, additional debt or equity, change of control, structural or business-plan changes, and replacement of the manager or franchise.

REMEDIES ON DEFAULT

Remove and replace the managing member, assume control of the business plan and renovation, replace the property manager, force a sale, and advance protective capital — all exercised subject to the senior loan documents and the recognition agreement.

RECOGNITION AGREEMENT

The senior lender's term sheet expressly contemplates preferred equity from an approved investor and requires a recognition agreement at closing — notice and cure rights, standstill, and permitted transfers of control.

Value supported by appraisal and market.

LWHA APPRAISAL · JOB 26-NY-290

SCENARIO	VALUE	PER KEY
As-is (50 keys)	\$21.0M	\$420K
Upon completion (57)	\$25.5M	\$447K
Upon stabilization (57)	\$28.5M	\$500K

WATERFRONT SALE COMPS · PER KEY

MARKET · CONDITION	KEYS	\$/KEY
Tilghman Island · unrenov.	54	\$378K
Tilghman Island · renovated	57	\$488K
St Michaels, MD · renovated	72	\$1.00M
Montauk, NY · renovated	26	\$577K
Fernandina Beach, FL · unrenov.	25	\$410K

The \$500K/key stabilized conclusion sits between the local unrenovated (\$378K) and renovated (\$488K) waterfront trades, and well below regional peers.

LW Hospitality Advisors (Michael Cline, MAI). Report dated May 15, 2026; effective May 5, 2026. Income, sales-comparison and DCF approaches reconciled.

Every dollar accounted for at close.

SOURCES	
Senior loan — at close	\$6,500,000
Senior loan — future funding	\$2,500,000
Preferred equity	\$7,276,056
TOTAL SOURCES	\$16,276,056
RENOVATION DETAIL · \$52,684/KEY	
Room renovation · 57 @ \$25,000	\$1,425,000
Replace 3-bedroom house	\$500,000
Exterior & interior improvements	\$300,000
Marina · 25 new slips	\$250,000
Boat bar & public-space FF&E	\$100,000
Contingency & professional fees	\$428,000
TOTAL PIP / RENOVATION	\$3,003,000

USES	
Existing loan payoff	\$10,250,000
PIP / renovation	\$3,003,000
Senior interest & carry reserve	\$823,769
Preferred current-pay reserve	\$727,606
Working capital	\$500,000
Closing, legal & other	\$438,400
Senior origination fee (2.50%)	\$225,000
Broker fee · MMCC	\$162,761
Preferred origination fee (2.00%)	\$145,521
TOTAL USES	\$16,276,056
SOURCES LESS USES	\$0 · Balanced

Preferred equity satisfies the senior lender's \$8,750,000 required-equity test, subject to lender approval and the recognition agreement. Per-key figures based on 57 keys.

NEXT STEPS

Available for review.

The full financial model, the LWHA appraisal dated May 15, 2026, the senior term sheet and sponsor materials are available on request. The sponsor is targeting acceptance by **September 11** and a close on or before **September 21, 2026**.

PREFERRED INVESTMENT	PREFERRED RETURN	TARGET CLOSE
\$7,276,056	17.00%	Sep 21, 2026



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